

Hypercompetition



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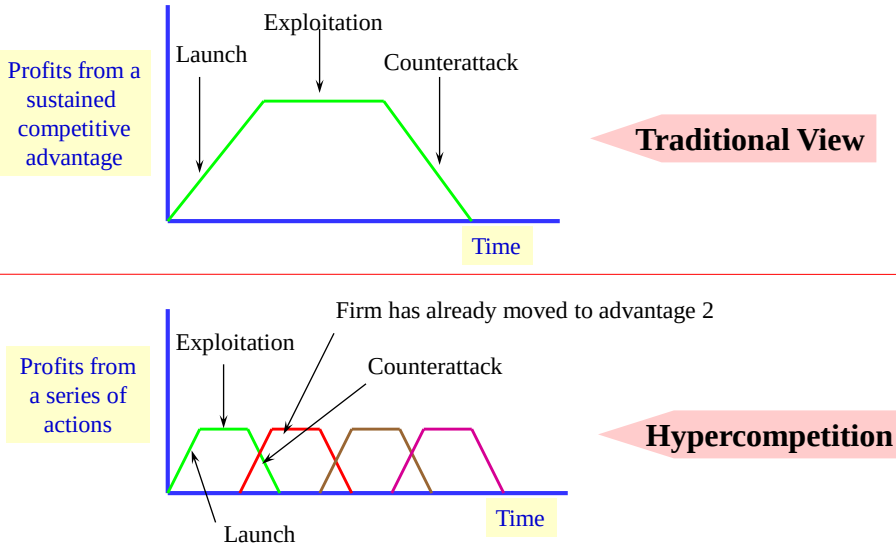
LPS

DEC: Minicomputers

- ❑ The company posted a 31% average growth rate from 1977 to 1982 by focusing on the **minicomputer**.
- ❑ The company clung so tenaciously to its advantage in minicomputer technology that it failed to develop a strong position in the emerging markets for minicomputers and PCs.
- ❑ As CEO [Ken Olsen](#) commented in 1984 (Businessweek), "We had 6 PCs in-house that we could have launched in the late 70s. But we were selling so many (VAX minis), it would have been **immoral to chase a new market**."



Strategic Competitive Advantage



What Is Hypercompetition?

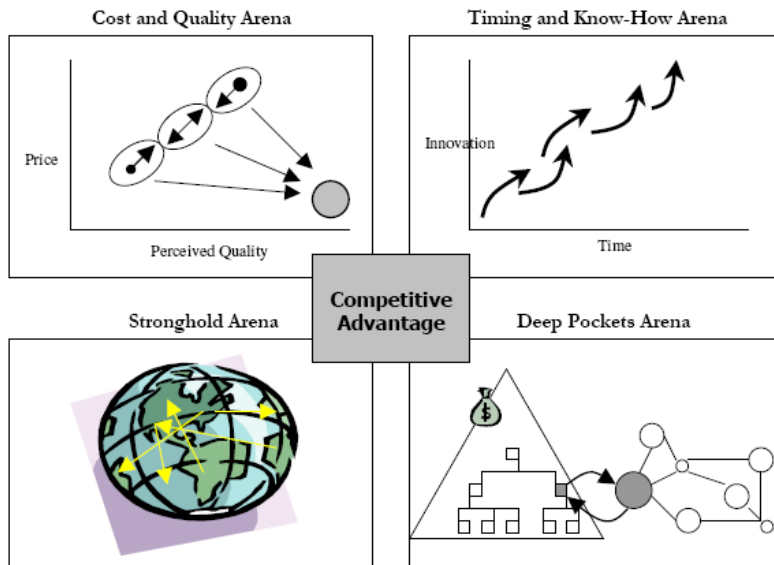
- ☐ Situation in which competitive advantage is not sustainable without regular reinvention, new entry, and exit
- ☐ Shift from slow to fast cycle markets
- ☐ Commoditization – all products having similar price – quality characteristics
- ☐ Process of creative destruction – innovation continually breaking incumbent's hold on markets
- ☐ Low industry returns.

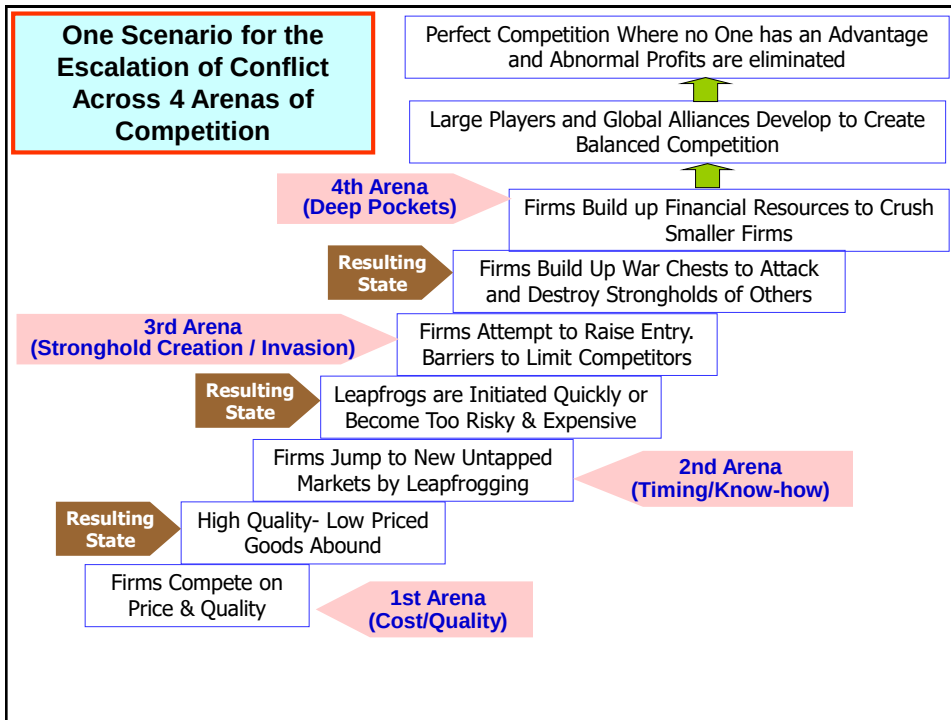
Models of Strategy

	Five Forces	Core Competences	Game Theory	Hyper-competition
Assumptions	Stable industry structure	Firm as bundle of competences	Industry viewed as dynamic oligopoly	Industry in rapid, unpredictable change
Goal	Defensible position	Sustainable advantage	Temporary advantage	Continuous flow of advantages
Performance Driver	Industry structure	Unique firm competences	Right moves	Ability to change
Strategy	Pick an industry, pick a strategic position, fit the organisation	Create a vision, build and exploit competences to realise vision	Make the 'right' competitive and collaborative moves	Gain the 'edges', time pace, shape semi-coherent strategic direction
Success	Profits	Long-term dominance	Short-term win	Continual reinvention

Source: S.L. Brown & K.M Eisenhardt (1998) 'Competing on the Edge'

Four Arenas of Hypercompetition





Different Levels of Industrial Competition	COMPETITION			
	Low Intensity ⇒	Moderate ⇒	High Intensity ⇒	Extreme
	No Competition	Competition Avoidance	Hypercompetition	Perfect Competition
	• Monopoly • Legal monopoly through patents • Excessive profits are sustainable for years. • Competitive Advantage (CA) - sustainable in the long-term.	• Firms position around each other but not directly against each other. • Segmentation of market occurs so that there is only one player in each segment. • Barriers to entry are used to limit entry of markets by competitors • If some small degree of segment /niche overlap occurs, firms tacitly cooperate to restrict this overlap or restrain competitive behavior. • Long term sustainable advantage and profits are possible as long as all the competitors cooperate or respect the entry barriers.	• Firms aggressively position against one another by attempting to disadvantage opponents. • Firms create new CA which make obsolete or match opponent advantages in one or more of the four arenas. • Firms attempt to stay ahead of their competitors in one or more of the arenas. • Firms create new CA that make the opponents' advantages irrelevant by moving to compete in another arena. • Temporary CA and short periods of profits are achievable until competitors catch-up or outmaneuver the aggressor's last competitive move.	• All 4 of the traditional CAs have been eliminated so the players are equal in all the 4 arenas. • Firms compete on price until no one makes abnormal profits. • Normally, perfect competition is not preferred over lower levels of competition because lower levels of competition lead to more opportunity for profits.
	Monopoly (One player) ⇒	Oligopoly (Small no. of players) ⇒	Schumpeterian Competition (Several players) ⇒	Perfect Competition (Many players)
	Excessive profits	Sustainable profits	Intermittent or low profits	No abnormal profits

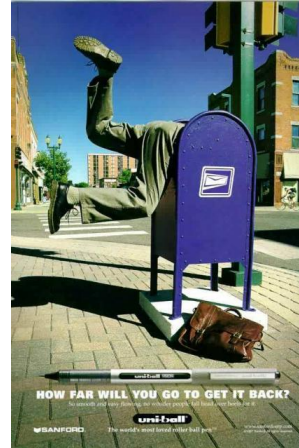
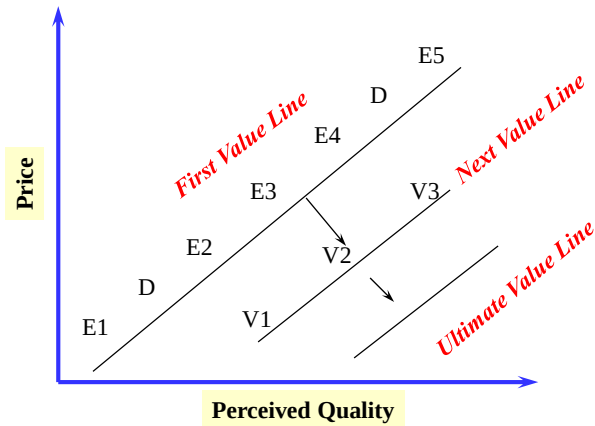
DSI	Cost and Quality	Timing and Know-How	Strongholds	Deep Pockets
1	Price wars	Capturing First Mover Advantages	Building barriers to create a stronghold	Drive them out
2	Quality & Price Positioning	Imitation & Improvement by Followers	Launching foray's into competitor's stronghold	Small competitor's use courts or lobby with Governments
3	The middle path: b/n price and quality	Creating Impediments to Imitation	Incumbent's short-run counter-responses	Large firms thwart Anti-Trust suit
4	Cover all niches	Overcoming the Impediments	Incumbent's delayed reaction	Small firms neutralize the advantage of deep pocket
5	Outflanking and niching	Leapfrogging	Overcoming the barriers	The rise of countervailing power
6	Move towards Ultimate Value (UV)	Downstream Vertical Integration	Long-run counter-responses to the attack	---
7	Escaping from UV by restarting the cycle	---	Slow learners and the incumbent's reactions to entrants	---
8	---	---	Unstable standoffs	---

DSI: Dynamic Strategic Interaction

Cost and Quality

Dynamics of Strategic Interaction

The Move Towards Offering Ultimate Value



Creeping up the line in diapers



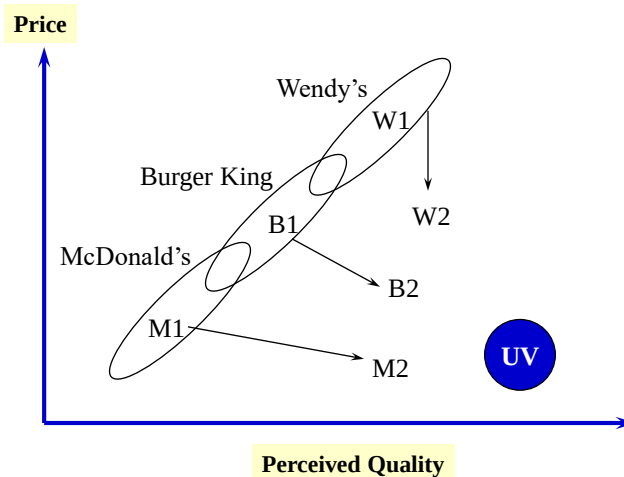
P&G: Nine ways to differentiate laundry products

Different people want different mixes of benefits from the products they buy. P&G came up with 9 segments and developed a different brand for each.

- ❑ **TIDE** “so powerful, it cleans down to the fiber”, “Tide’s in, dirt’s out.”
- ❑ **CHEER** “outstanding cleaning and color protection.”
- ❑ **OXYDOL** “makes your white clothes really white.”
- ❑ **GAIN** “freshens like sunshine.”
- ❑ **BOLD** “cleans, softens and controls static.”
- ❑ **IVORY SNOW** “mild, gentle soap for diapers and baby clothes,” “99.44% pure!”
- ❑ **DREFT** with Borax “nature’s natural sweetener”
- ❑ **DASH** “Dash does it for a great low price.”
- ❑ **ERA PLUS** “built-in stain removers.”



The Fast Food Business



Cost-Quality Arena: Management Challenges

- ☐ Are you in the middle or stuck in the middle?
- ☐ Which product segment (price-quality) is most attractive? Will it remain that way?
- ☐ Is someone building a full line in your industry or creeping up or down the line?
- ☐ How can you (or how will your competitors) move toward the ultimate value positions?
- ☐ Is it your advantage to speed up the cycle? How can you do it?
- ☐ How can you redefine quality and restart the cycle?

[Timing and Know-How Arena](#)

Dynamics of Strategic Interaction

Outcomes From the Innovation Process:

A Taxonomy

	First Mover-Innovator	Follower-Imitator
WIN	Pilkington (float glass) G.D. Searle (NutraSweet) Dupont (Teflon)	IBM (personal computer) Matsushita (video recorders) Seiko (quartz watch)
LOSE	RC Cola (diet cola) EMI (scanner) Bowmar (pocket calculator) Xerox (office computer)	Kodak (instant photography) Northrop (F20 fighter planes) DEC (personal computer)

Shifting Know-how: Pharmaceutical industry

COMPETENCIES IN R&D

Skill	Impact and Nature	Firms / Roles
Organic Chemistry, 1870s-Present	Established by Central European dye firms through molecular manipulation, trial and error	Hoechst Marion: Sustained competence in product development for over a century
Fermentation and Soil Screening, 1940s-Present	Established antibiotic firms in the USA; narrow competence not transferable to other drug classes	Lilly: Dominant products brought industry leadership for twenty years, then began to lag
Rational Drug Design, 1970-Present	High-cost drug development driven by advances in bio-chemistry	Merck: Able to develop drugs, required cutting edge research across classes.
Biotechnology, 1980s-Present	Non-organic approach to drug therapy	Amgen: Specialized, cutting edge research, knowledge and insights



Shifting Know-how: Pharmaceutical industry

COMPETENCIES IN MARKETING AND PROMOTION

Skill	Impact and Nature	Firms / Roles
Direct selling to physicians, 1950s	Allowed for the effective marketing to gatekeepers in economic transactions	Pfizer: Created effective differentiation of products among gatekeepers
"Blockbuster" marketing, early-mid 80s	Single product focus of entire detail force and promotion; effective with narrow product line	Glaxo: Created a new way to sell; through selling, gave blockbuster potential to a chemically indifferent drug
Specialized selling	Specialized salesforce for different therapeutic classes / medical specialties; more focus with broad product line	Merck: Specially trained and focused units in cardio, hospital, etc.
Handling regulatory requirements	Speeds drug to market, expanding time available to patent for economic profits	Hoechst Marion: Of limited value without competence in acquiring new drugs



The First Dynamic Strategic Interaction: Capturing First Mover Advantages

- ❑ Response lags: Obtaining monopoly rents
 - ❑ Economies of scale
 - ❑ Reputation, switching costs and loyalty
 - ❑ Advertising and channel crowding
 - ❑ User-base effects: Network size and user base provide funds for the next leap
 - ❑ Producer learning / experience effects
 - ❑ Pre-emption of scarce assets (McDonald's restaurant locations)
- First movers need*
- Innovation skills
 - Customer knowledge
 - Market penetration and marketing skills
 - Flexible manufacturing skills

The Second Dynamic Strategic Interaction: Imitation & Improvement by Followers

Diffusion is rapid when

- ❑ reverse engineering is easy
- ❑ equipment suppliers help transfer key technologies or other business know-how
- ❑ industry observers, trade associations, etc. help transfer know-how
- ❑ personnel move to rival firms frequently
- ❑ leaks of secret information are commonplace and not illegal

To win, an imitator needs 3 things that fall in these regimes:

- **Appropriability** - related to the strength of patents and other legal protection and the difficulty for followers to invent around patents
- **Dominant design paradigm** - if follower enters before a dominant design emerges, it has a better shot with own design
- **Complementary assets** - marketing, manufacturing, and other skills are needed to produce a new product

The Second Dynamic Strategic Interaction: Imitation & Improvement by Followers

Follower strategies work best when the first mover is unable to keep up with demand (Adidas & Nike - no fortressing), is not satisfying all segments of consumers or all varieties of needs (flanking) or has a design flaw that can be corrected (aspirin vs. buffered aspirin)

•**Pure imitation strategy**

•**Adding bells & whistles:** P&G - Crest (basic toothpaste); Lever - CloseUp (+freshen breath and whiten teeth) and Aim (gel + fluoride protection); Beecham - AquaFresh (fights cavities + freshens breath + whitens teeth)

•**Stripping down:** Niche airlines

•**Flanking products**

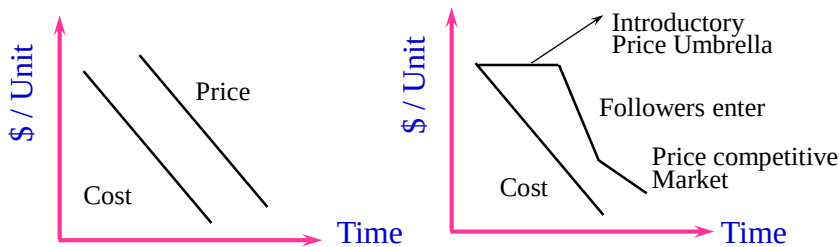
•**Reconceptualized products:** Mobike from inexpensive transport to vehicle for fun and recreation to a status symbol

•**Risk reduction:** warranties, free samples, etc.

•**Compatible products**

The Third Dynamic Strategic Interaction: Creating Impediments to Imitation

- ❑ **Deterrent pricing** (Niconil – Nicotine-replacement patch)
- ❑ **Secret information** (Coke formula, SABRE investment costs)
- ❑ **Size economies**
- ❑ **Contractual relationships**
- ❑ **Threats of retaliation**
- ❑ **Patents**
- ❑ **Bundles products** (follower does not have access to all components)
- ❑ **Switching costs**
- ❑ **Restrictive** (e.g., geographic) **licensing** (e.g., Sealed Air packaging)



The Fourth Dynamic Strategic Interaction: Overcoming the Impediments

- ❑ **Deterrent pricing**: No problem if the follower is resource rich; Process innovations
- ❑ **Secret information**: Reverse engineering, experimentation (private label colas)
- ❑ **Size economies**: Process innovations; build scale in one geographic area and expand (Japanese auto builders); No problem if growth exceeds first mover's capacity
- ❑ **Contractual relationships**: New supplier, vertical integration
- ❑ **Threats of retaliation**: Some may not be credible if innovator also loses
- ❑ **Patents**: Increase imitation costs only by 11%
- ❑ **Bundled products**: Joint ventures, vertical integration
- ❑ **Switching costs**: Advertising, promotions, etc.; may make market more attractive as follower can also reap the benefits once in.

The Fifth Dynamic Strategic Interaction: Transformation or Leapfrogging

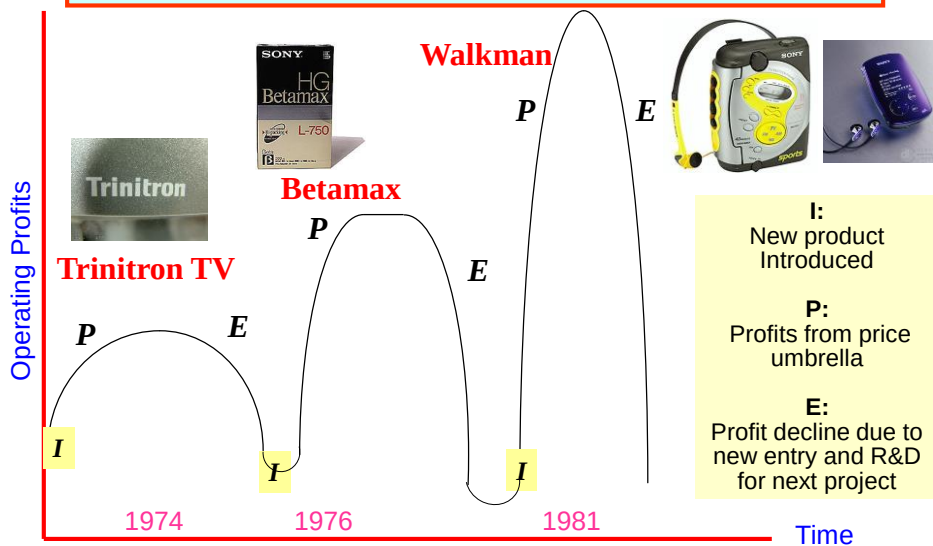
❑ Transformation strategy

- Compaq - from a premium priced innovator to a low cost manufacturer

❑ Leapfrogging strategy

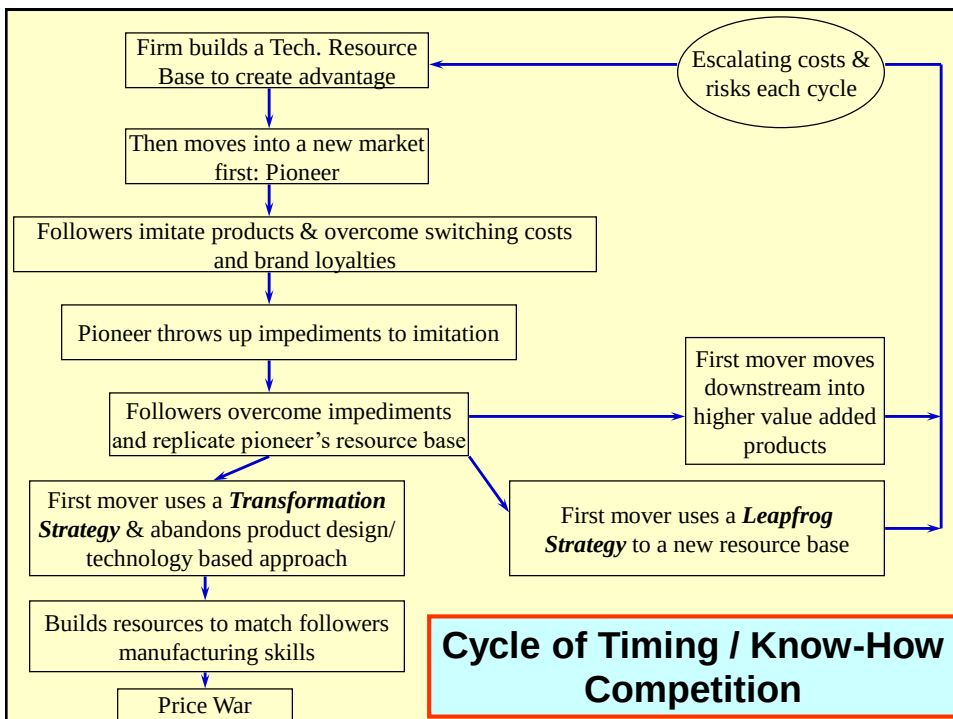
- Cyrix introduced the 486 clone in 18 months, compared to the standard 3 to 4 year industry cycle. And produced it at 4% of Intel's initial investment. For a while also hoped to leapfrog Intel (Cyrix defunct in 1997).
- P&G and Ultra thin diapers in Japan
- McDonald's leapfrogged over competition by reconceptualizing itself as a restaurant - not just a place for burgers

The Fifth Dynamic Strategic Interaction: Leapfrogging



The Sixth Dynamic Strategic Interaction: Downstream Vertical Integration

- ❑ Sony entered the software side of the entertainment business with Columbia Pictures - but imitated by Matsushita (the purchase of MCA).
- ❑ Intel and motherboards
- ❑ Problem is that it ties up resources that could fruitfully be committed to building the company's core businesses



Timing/Know-How Arena: Management Challenges

- ☐ Should your firm pursue an evolutionary or revolutionary technology strategy to meet the know-how challenges it will face in the future?
- ☐ Is it better to employ a strategy of being a first mover, a close follower, or a late follower in your industry? Why?
- ☐ What resource base will you build up and how soon it can be replicated by your competitors? How soon can you replicate their resource base?
- ☐ How will you use timing of market entry to your advantage?
- ☐ What intangible assets are crucial to dominating your industry?
- ☐ Is it to your advantage to speed up this process of evolution of the industry? If so, how can you make it move faster?
- ☐ Can you ever really stop the process from occurring even if you have the upper hand?

[Strongholds](#)

Dynamics of Strategic Interaction

Strongholds and Entry Barriers

- ❑ Maxwell house was dominant in the East Coast market and Folgers was strong in the West Coast.
- ❑ After being acquired by P&G, Folgers entered the Cleveland market to increase its eastern penetration. Maxwell countered by attacking Folgers' stronghold; lowering prices and increasing ad expenditures in Kansas city.
- ❑ Maxwell also introduced a "fighting brand" called Horizon which was similar to Folgers in taste and in packaging. Folgers then escalated by entering Pittsburgh. Maxwell responded by entering Dallas with reduced prices.
- ❑ The battle continued until the market was no longer two coastal segments but one national battleground.



Strongholds and Entry Barriers

BIC revolutionized the disposable ballpoint pen with its mass merchandising skills, but Gillette entered the market for disposable pens (PaperMate), overcoming entry barriers (access to distribution channels, economies of scale in advertising, brand equity, etc.) by using its own considerable skills in mass merchandising. Since this was BIC's stronghold, it had to respond. So BIC counter- attacked by entering Gillette's stronghold, disposable razors - giving rise to multi-market



FedEx vs. UPS...

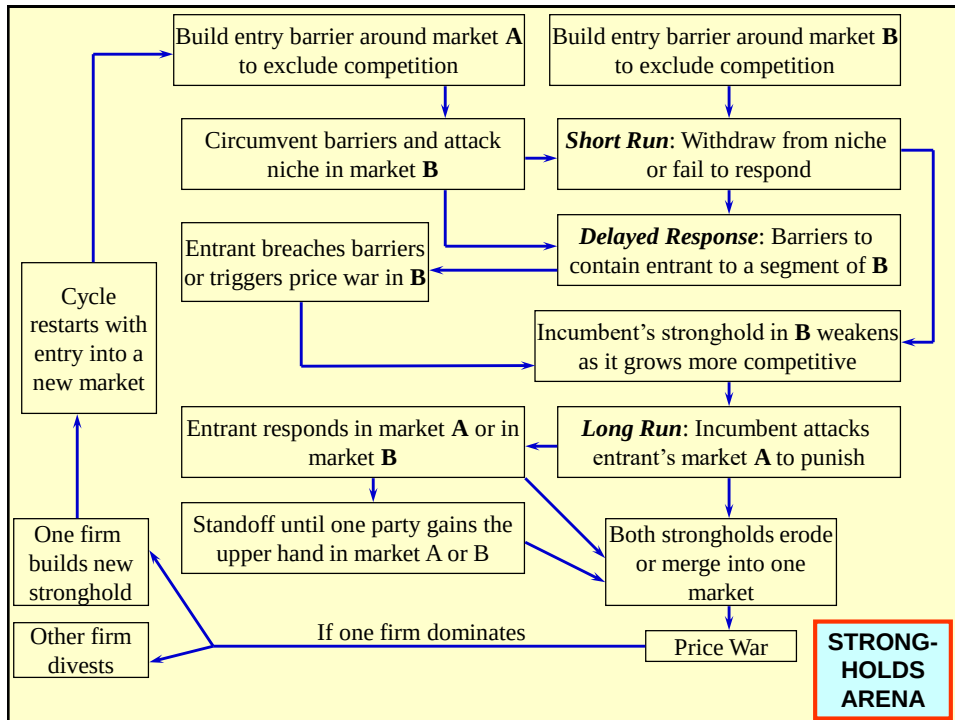
- ❑ UPS rested on its laurels in the 1980's as FedEx and the USPS grabbed market share. Now, UPS is launching an all-out attack to garner a bigger chunk of the lucrative overnight business.
- ❑ "We used to see a very large growth in our ground business," said UPS Vice Chairman John Alden. "It is now more significant in the air business which requires us to lease planes for a short period of time to meet a significant spike in our air business."
- ❑ Competition is mounting. The USPS, leader in two-day delivery, wants to move into the overnight business. FedEx, with 60 percent of the overnight business, is going after the UPS-style ground service, such as department store parcels.



FedEx vs. UPS

- ❑ Transportation: Fedex has introduced some time-deferred, ground-based capabilities. UPS has developed the express air-based ability of their company.
- ❑ Internet: Both companies have web sites where consumers can order merchandise and businesses can track shipments.
- ❑ Markets: Both are investing billions of dollars to build distribution systems in Europe and Asia, betting on those largely untapped markets.

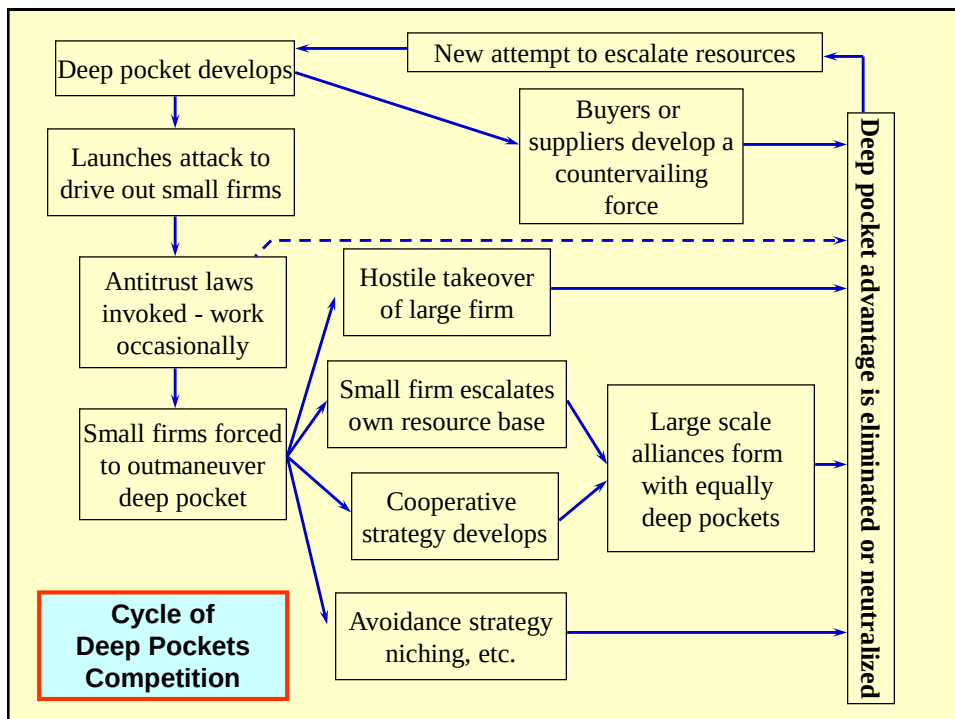


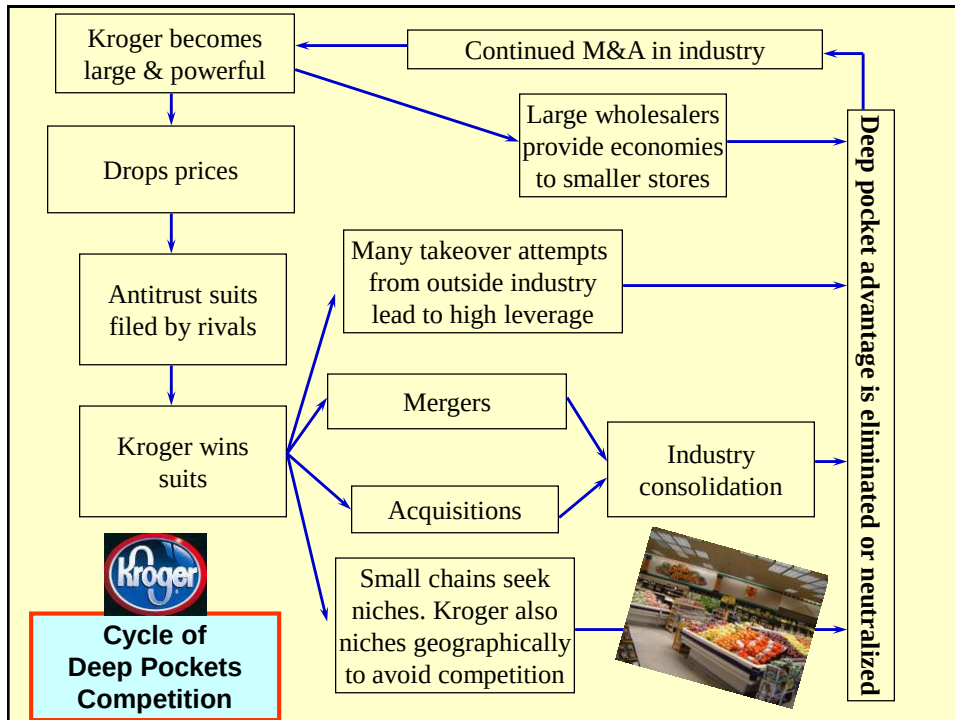


Stronghold Arena: Management Challenges

- ☐ Do you base your strongholds on geographic areas (Folgers) or product markets (FedEx)? How do competitors define strongholds?
- ☐ Where are your strongholds vulnerable to attack?
- ☐ What barriers do you use to protect your strongholds? What barriers are used by your competitors?
- ☐ How can you respond to an attack from outside?
- ☐ How will you make the move into another player's stronghold? What competitive response do you anticipate?
- ☐ Who and what are setting the pace of escalation down the strongholds ladder in your industry? Why?

Dynamics of Strategic Interaction





Deep Pockets Arena: Management Challenges

For the smaller competitor

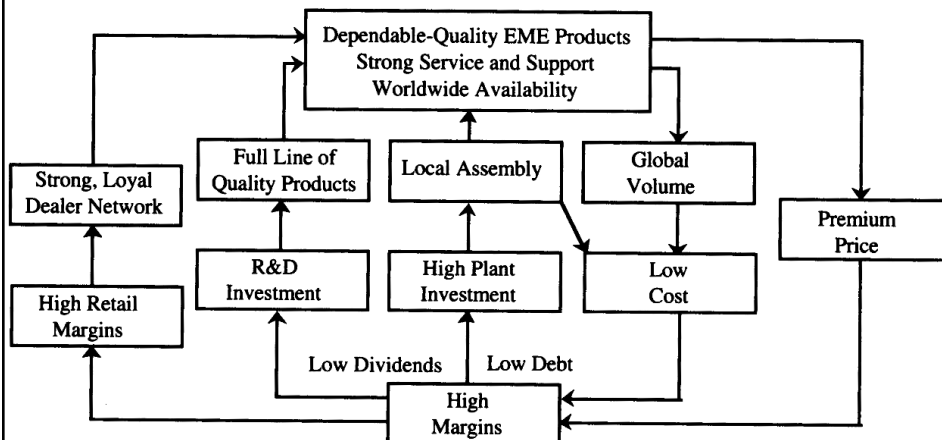
- ☐ How can you neutralize the advantage of the deep pocket?
- ☐ Can antitrust laws be invoked to slow or derail the deep-pocketed firm?
- ☐ Can you build implicit or explicit alliances with other competitors or the deep competitor itself to neutralize its advantage?
- ☐ Can you develop niches or exploit technology and output flexibility to avoid direct competition with the larger firm?
- ☐ If you use tacit coordination strategies (such as “swarming”) are you vulnerable to antitrust actions?

Deep Pockets Arena: Management Challenges

For the deep-pocketed firm

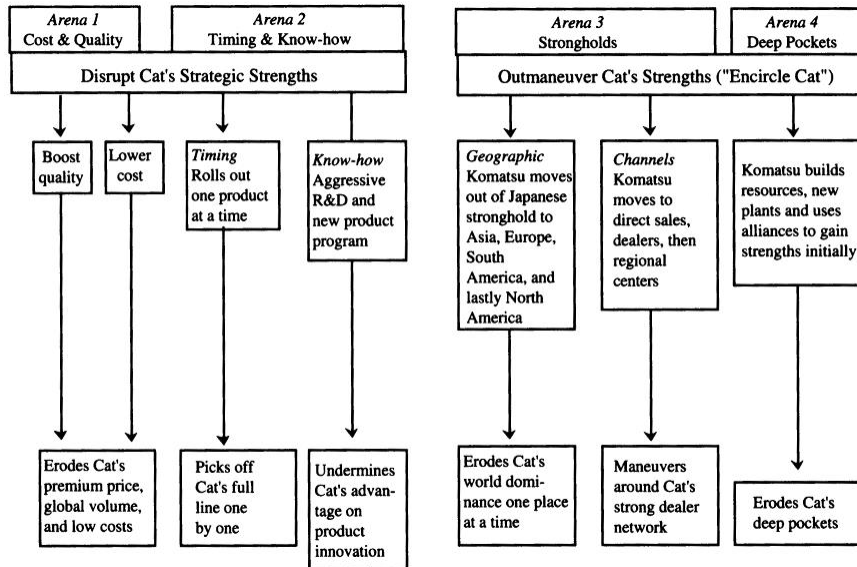
- ❑ Have you exploited all the advantages of your deep pocket (global reach, political power, room for error, pricing flexibility)? Do you have a strategy to capture these advantages?
- ❑ How are you vulnerable to attack by smaller competitors trying to neutralize your deep pocket?
- ❑ How can you maintain flexibility that is often lost with greater size and bureaucracy?
- ❑ What are the dangers of your suppliers and buyers developing a countervailing force? How can this move be prevented?
- ❑ Can you form alliances with smaller competitors to benefit both you and them? Are other deep-pocketed competitors in your industry trying this to neutralize your deep pocket?
- ❑ Are you vulnerable to antitrust action?

Caterpillar Strategy: Sustainable Advantage



EME: Earth Moving Equipment

Komatsu Strategy: Beat CAT

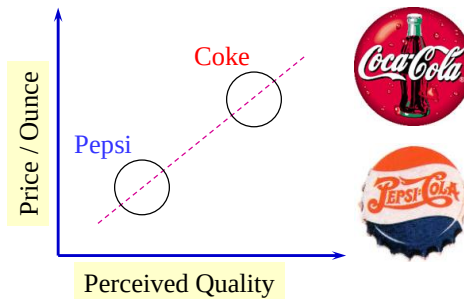
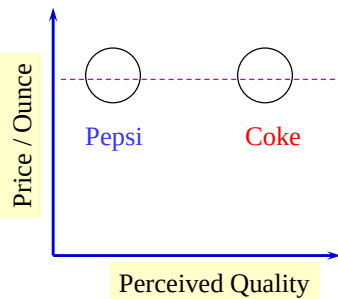
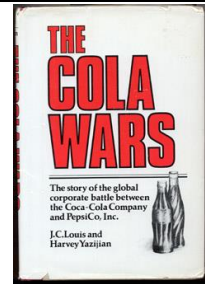


Four Lens Analysis

Cola Wars

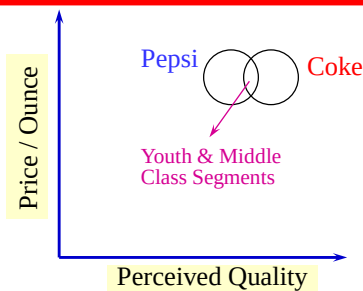
Cola Wars: Coke vs. Pepsi ...

- Coke: 1886; Pepsi: 1893
- 1933: Pepsi struggling to stave off bankruptcy. Dropped price of its 10c, 12 oz. bottle to 5c, making it a better value
- 1939: Pepsi's ad jingle "twice as much for a nickel" better known in the US than the Star Spangled Banner



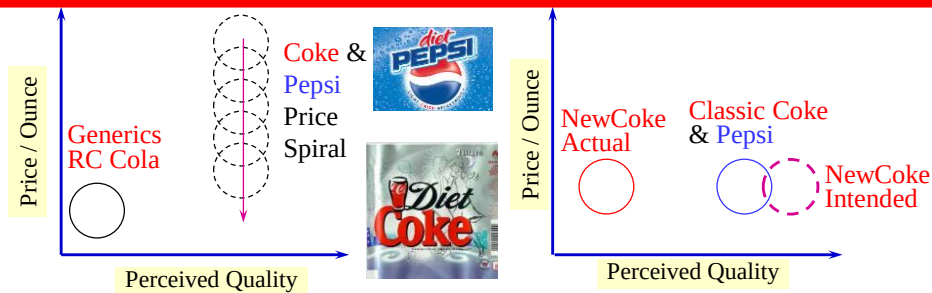
Cola Wars: Coke vs. Pepsi ...

- Pepsi keeps price advantage through 60s and 70s, when Pepsi charged its bottlers 20% less for its concentrate
- With rising ingredient costs, Pepsi could no longer offer twice as much for the same price. So it raised price to Coke's level giving it a war chest to fuel an aggressive ad campaign
- Battle shifted from Price to Quality, with Pepsi targeting the youth
- What followed was the Pepsi Challenge & "Real Thing" Coke ads



Cola Wars: Coke vs. Pepsi ...

- Perceived quality caught up. Deeper pocketed and lower cost Coke initiated a price war in selective markets where Pepsi was weak in the 70s. Pepsi responded with its discounts and by the end of the 80s, 50% of food store sales were on discount
- Other companies moved into the lower left quadrant of the market. But the two major players forced price down to "ultimate value."
- To break price spiral, Coke launched New Coke to keep Coke loyalists and induce switching among Pepsi buyers. Rejected by market.
- Attempts to move to next arena via niches in caffeine and sugar substitutes.



ERA	Cost and Quality	Timing and Know-How	Strongholds	Deep Pockets
King Coke 1886-1930	Coke dominates quality in mind of US consumers.	Coke protects its secret formula.	Coke develops US geographic strongholds thru bottler N/W and fountain sales.	Coke builds profits and uses deep pockets to challenge other colas in court.
Poor Pepsi 1893-1930	Pepsi begins as small brand; Coke and Pepsi hurt by fluctuations in sugar prices during WWI in 1920.	Pepsi develops own formula, sweeter than Coke's.	Pepsi develops parallel N/W of bottlers. Coke unconcerned.	Pepsi fails to build deep pockets, moving in and out of bankruptcy. Sugar crisis sends Pepsi belly-up; Coke profits continue up.
Pepsi's Price War 1930-1940	Pepsi cuts price of 12 oz. bottle to 5 cents, seen as bargain, gains share.	Coke doesn't respond to new formula or packaging.	Coke introduces vending machines and coolers to control distribution channels and gain economies of scale in advertising in the US (1932)	Lower price boosts Pepsi earnings to more than \$4M., with 313 bottlers by 1938. Pepsi seen as serious contender. Coke files suit (1938) to ban Pepsi from using "Cola." Suit dropped.

ERA	Cost and Quality	Timing and Know-How	Strongholds	Deep Pockets
The War Years / Global expansion 1940-1950	Pepsi's price inches up; used ads to boost image of quality; earnings drop 70% (1946).		Coke launches Coca-Cola Export Corp.; in 1930 already has 63 bottlers in 28 countries. Pepsi opens first foreign plant in Montreal (1934). Coke rides on the coattails of WWII, building plants to supply troops with soda; leads diplomatic efforts into Latin America.	Coke uses political power to push law limiting sugar supplies during war. Pepsi responds by buying Cuban sugar plantation (1943). Winegrowers in France fight "Cola Colonialism" in court. Coke uses muscle to overcome this resistance.
Pepsi's Comeback 1950-1960	Pepsi successfully focuses its ads on reaching the expanding middle-class market.	Pepsi introduces first 24 oz. bottle for family consumption. Coke belatedly introduces 10-, 12-, 26-oz. bottles.	Pepsi uses cofranchise with Schweppes to enter England and expand product line. Pepsi expands vending machines. Pepsi foreign plants grow from 67 to 237. Coke still ahead with 647.	Pepsi's profits up 15%. Complacent Coke's profit drop 8% (1954). Pepsi ad budget boosted from \$14M. to \$30M. (1955-59).

ERA	Cost and Quality	Timing and Know-How	Strongholds	Deep Pockets
Product Proliferation 1960-1970		New product battle begins. Coke: Sprite, Tab, Fresca. Pepsi: Patio, Diet Pepsi, Mountain Dew. <u>Flip-top can introduced.</u>	Pepsi uses political connections; Khrushchev tries Pepsi, Russian market open.	Cash-poor Pepsi merges with Frito-Lay to rebuild resources.
Hyper-competition 1970-1990	The Pepsi Challenge (based on blind taste tests) attacks on quality (1974). <u>Pepsi's sweetness viewed as better taste.</u> Coke, on the ropes, begins discounting, driving prices down. Coke tries New Coke to leapfrog quality and recapture the initiative.	Product proliferation accelerates; diet, caffeine-free, juice flavors, sports drinks. New Coke a disaster. <u>Coke Classic revived.</u> Pepsi rolls out 3-liter bottle (1984); 4-month lead over Coke.	Coke's US strongholds invaded. 7-Up attacks colas head-on with the Uncol. Niche players enter. <u>Pepsi gains share in US cola market thru youth segment.</u>	Pepsi adds restaurants; Coke enters entertainment (1982).

7-S FRAMEWORK

Hypercompetition: 7S Framework

❑ S1: Superior Stakeholder Satisfaction

- Identify customer needs that even the customer cannot articulate
- Find new customers to serve
- Predict changes in customer needs



❑ S2: Strategic Soothsaying

- Understanding the future evolution of markets and technology
- Decide where the next advantage will be discovered

❑ S3: Positioning for Speed

- Create the advantage faster will win
- Move quickly from one advantage to the next is crucial



Hypercompetition 7S Framework

❑ S4: Positioning for Surprise

- Create advantages and extend the period
- Allow Companies to undermine competitor advantages before the competitors can take defensive actions
- Keep Competitors guessing about its next move



❑ S5: Shifting rules of Competition

- Create a sudden and discontinuous move in the industry

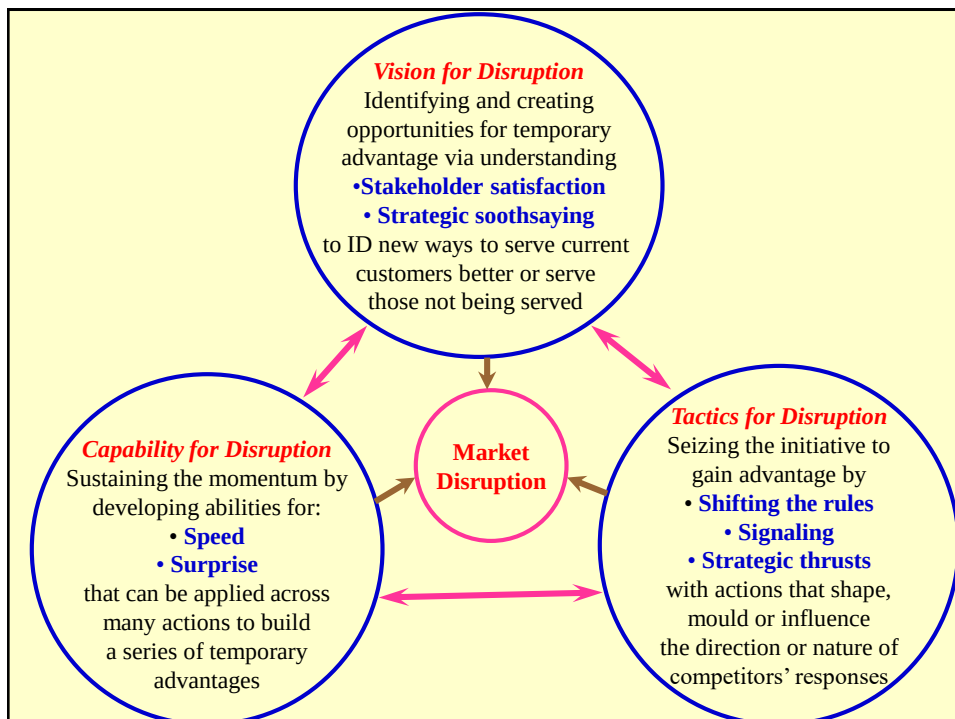
❑ S6: Signaling Strategic Intent

- Delay or dampen the competitor's actions to create advantage



❑ S7: Simultaneous and Sequential Strategic Thrusts

- Take steps to use good resource effectively



Dynamic 7-S Analysis: Sony Vs. Kodak

S1: Stakeholder Satisfaction	Sony knew that even with the advances of instant film and 35mm cameras, customers still faced challenges in developing and storing prints that digital technology could resolve, once it overcame its own weakness. It also offered customers a means of editing photos.
S2: Soothsaying	Sony saw the convergence of electronic cameras with high-definition TV as revolutionizing how photos are stored or viewed.
S3: Speed	Sony's rapid production and production innovations allowed it to arrive first to market. It launched a high-priced version to gain experience rather than wait for one with broad commercial appeal.
S4: Surprise	Sony's Mavica was its first still camera, moving into Kodak's industry from the outside. It used its flexibility and innovation to make this move.



Dynamic 7-S Analysis: Sony Vs. Kodak

S5: Shifting Rules	Sony shifted the rules of competition from chemical expertise (Kodak's strength) to electronic expertise (its strength). It also shifted product quality concern back to speed and use of developing viewing photos.
S6: Signals	Through product announcements and the early launch, Sony signaled its intent to be a strong player in this emerging digital photography market.
S7: Strategic Thrusts	Attacking with the still and motion photography simultaneously, Sony struck at several of Kodak's key products with electronic rivals. Sony also used a sequence of actions to build capabilities and resources it needed to succeed in still photography.

SONY
Spin N' Snap
(hand power digital camera)



Dynamic 7-S Analysis: SWATCH Vs. TIMEX



S1: Stakeholder Satisfaction	Swatch redefined quality as a design variety, low cost and excitement rather than Timex's reliability.
S2: Soothsaying	Swatch seized the opportunity for increasing emphasis on fashion and defined fashion trends in the watch industry.
S3: Speed	Swatch process innovations allowed frequent new product changes.
S4: Surprise	Swatch's wide range of new products and constant creativity made the company extremely unpredictable, making it hard for competitors to keep up.



Pluggers tell time by Timex, not Verizon.



Dynamic 7-S Analysis: SWATCH Vs. TIMEX

S5: Shifting Rules	Swatch shifted watch quality from timekeeping to fashion. It shifted distribution from jewelers to department stores, where it went head-to-head with Timex and squeezed Timex out of some stores.
S6: Signals	Swatch use product announcements and publicized shifts into new markets such as phones to emphasize its strategic intent and aggressiveness but to keep competitors guessing about its true intentions.
S7: Strategic Thrusts	Moving in several directions at once, Swatch-maker SMH has attacked thru innovations at the high end (Omega) and low end at the same time. It has used a sequential strategy of building strength in watches and then applying its know-how and resources to other products – even automobiles. It has also moved in so many different directions in its product line that it has been impossible for Timex to react or keep up.

FOUR Arena Analysis

Arena	KSFs	Critical 7S
Cost / Quality	☐ Understanding customer needs ☐ Cost reduction	S1: Stakeholder Satisfaction S3: Speed
Stronghold Creation / Invasion	☐ Deterrence ☐ Aggression	S6: Signals S7: Strategic Thrusts
Know-how / Timing	☐ Foster innovation ☐ Quick market penetration	S3: Speed S4: Surprise S2: Soothsaying
Deep pockets	☐ Brute force ☐ Out-maneuvering big opponents	S7: Strategic Thrusts S5: Shifting rules

Limitations of the Hypercompetition Perspective

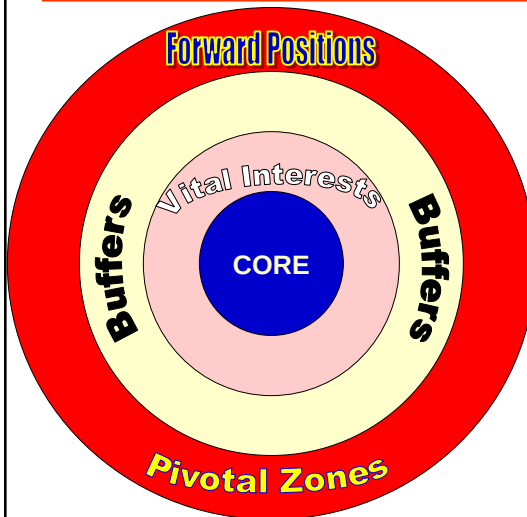
- ☐ Ignores the point that competition and co-operation can co-exist.
 Examples include the development of Advanced Photo Film, DVD, etc.
- ☐ Sometimes it may be in the best interests of players not to jump to the next level of dynamic competitive interaction, but into co-operative competition (i.e., coopetition). This requires figuring out the situation the firm is facing and then looking at the firm's **valuenet**

Strategic Supremacy

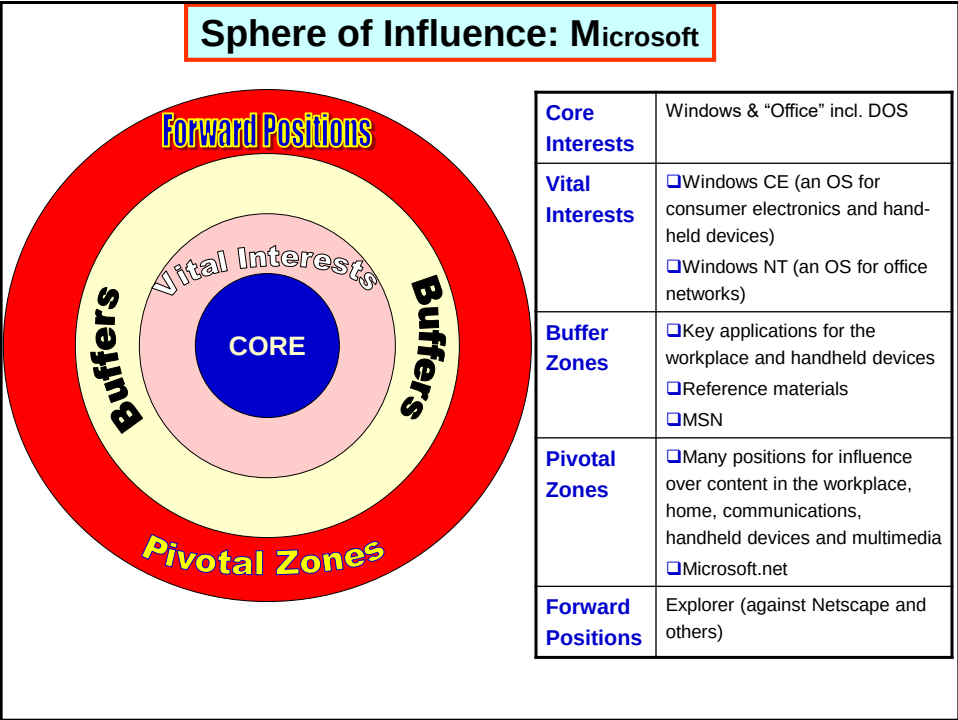


Sphere of Influence

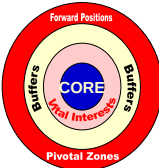
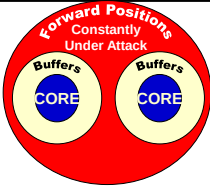
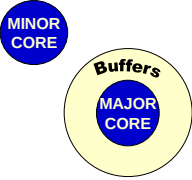
Roman Empire at its zenith (BC 133 – AD 200)

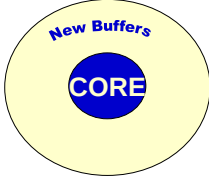
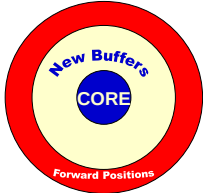


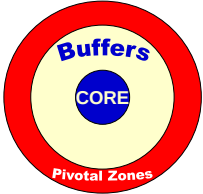
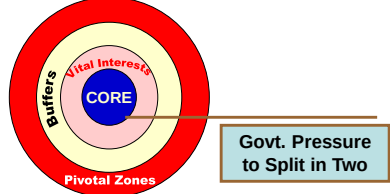
Core Interests	Rome & Italy city-states
Vital Interests	Egypt, Spain, Sicily (food and manpower suppliers)
Buffer Zones	France, N.Africa (against invasion from Northern Europe and sub-Saharan Africa)
Pivotal Zones	Alps (loss would shift balance of power to Germanic tribes)
Forward Positions	West Turkey, Northern France (launchpads for attacking specific enemies to the east and north)



<u>Roman Sphere Of Influence</u>			
DATE ⇨ STAGE ⇨	Before 500 BC Independence	500-340 BC Defensive Posture	340-133 BC Offensive Posture and Growth
Core Interests	Rome	Rome	Rome
Vital Interests			
Buffer Zones		Northern and central Italian city-states	Other Italian city-states
Pivotal Zones		Northern and Southern Italian city-states	Spain (loss would shift balance of power to Carthage in the early part of this period)
Forward Positions			Sicily (against Carthage and Macedonia in the early part of the period)

<u>Roman Sphere Of Influence</u>			
DATE ⇨ STAGE ⇨	133BC – AD 200 Consolidation	AD 200 - 450 Defensive Response	AD 450 - 600 Sphere Migrated to East
Core Interests	Rome & Italian city-states	Rome & Constantinople	Constantinople
Vital Interests	Egypt, Spain, Sicily (food and manpower suppliers)		The Balkans, borders with Middle Eastern States
Buffer Zones	France, N.Africa	Italian Peninsula for the Western Empire & Macedonia for the E. Empire	East Turkey, Macedonia
Pivotal Zones	Alps (loss would shift balance of power to Germanic tribes)		
Forward Positions	West Turkey, Northern France (launchpads for attacking specific enemies to the East & North)	Outlying areas	

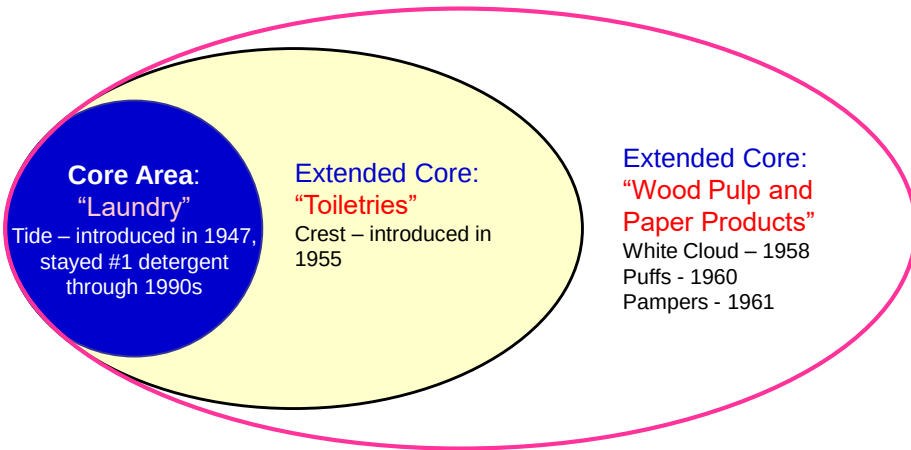
<u>Microsoft Sphere Of Influence</u>			
DATE ⇨ STAGE ⇨	Pre 1979 Pre-Independence	1980-1983 Independence from Licensors and Defensive Posture in IBM world	1984-1989 Offensive Posture Created and Growth Orientation Established by Forward Positions
Core Interests	Licensing mainframe program language for adoption to PCs	PC languages and the MS- DOS operating system	MS-DOS and Windows for IBM
Vital Interests			
Buffer Zones		Applns – Word Processing /Spreadsheets for IBM Network software - Xenix	More applns. added for IBM and N/w communication programs for IBM's OS/2
Pivotal Zones			
Forward Positions			SQL servers (DBs) Applns added for Mac platform reference materials (bookshelf)

Microsoft Sphere Of Influence		
DATE ⇒ STAGE ⇒	1990-1996 Consolidation of the Center of Interest	1997-2000 Continued Expansion in Cyber-Space – Possible split in Half: Applns and OS?
Core Interests	Consolidation of MS-DOS / Windows / applns. into "Office"	Windows and "Office" incl. DOS
Vital Interests		Windows CE (OS for consumer electronics) Windows NT (OS for office networks)
Buffer Zones	Continued improvement and addition of new applns. Reference material (encarta)	Key applns. for workplace and hand-held devices Reference Materials and MSN
Pivotal Zones	Digital content (games, money, etc.) Online Services MSN	Many positions for potential future influence over content in workplace, home, communications, hand-held devices and multimedia Microsoft.net
Forward Positions		Explorer (against Netscape)

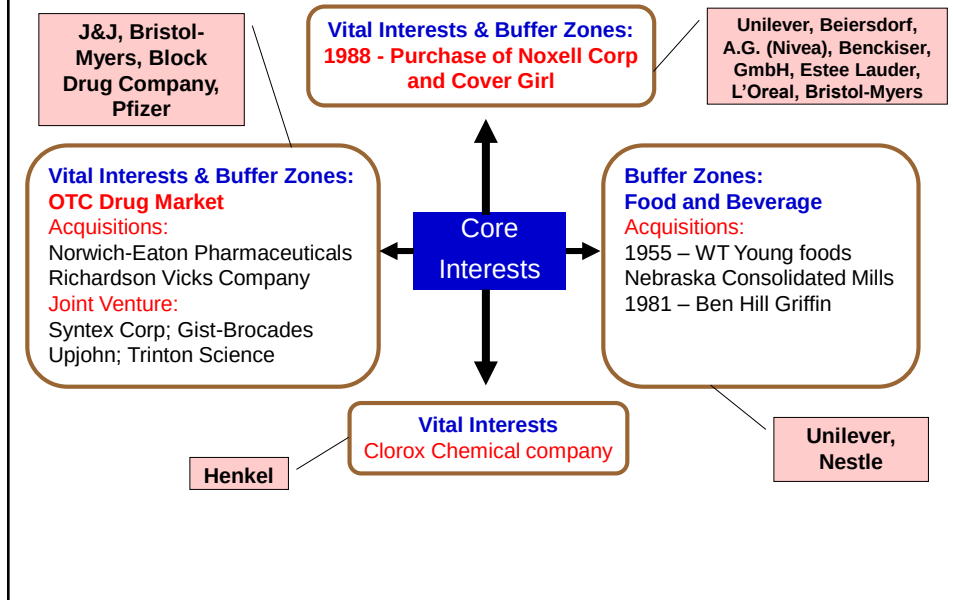
Competitive Compression	1 st Steps	2 nd Steps	3 rd Steps	Typical Sequential Guide
Core is not threatened very much	Add Buffers*	Add Forward Positions **	Add Vital * and Pivotal ** Zones	1. Protect the core 2. Position to counterattack rivals who might invade the core 3. Enhance the profitability of the present and prepare for the future
Core is under moderate pressure	Add Forward Positions ** and Vital Zones *	Add Pivotal Zones **	Add Buffers***	1. Protect and support the present core to hold on to it 2. Search for and discover new zones that can be safe havens outside the focus of the current competitive compression or be a new core if the compression gets worse 3. Protect the future of the initial core or a successful pivotal zone
Core is under severe threat	Add Pivotal Zones **	Add Forward Positions **	• Drop old Core • Build Buffers* and Forward Positions ** around the core	1. Prepare for migration of the core using funds from the initial core 2. Buy time to migrate by positioning against rivals who might attack the initial core 3. Secure the future around the new core

KEY: * ⇒ Near (or related) to the initial core; ** ⇒ Potentially unrelated the initial core;
***⇒ Both *and**

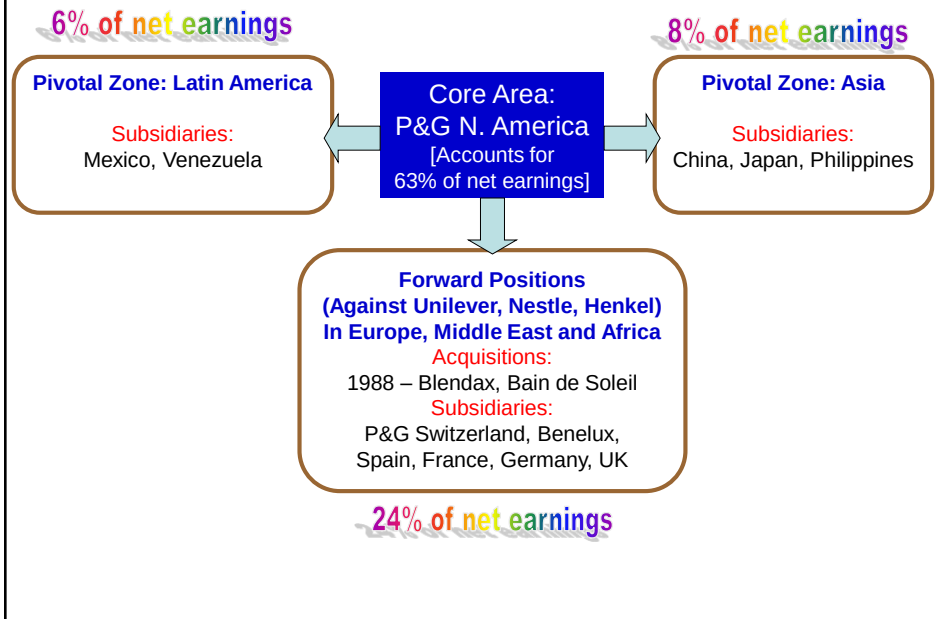
Stage 1: P&G builds its US base (1950s and 1960s)



Stage 2: P&G adds Vital Interests and then Buffer Zones in the US (1970s and 1980s)



Stage 3: P&G Global Expansions (1980s and 1990s)



Will you make history ...or be history?

